would be likely to yield a larger proportion of their book values than the ordinary property account. It will be seen that White Motor's estimated liquidating value (about $31 per share) was not far from the current-asset value ($34 per share). In the typical case it may be said that the noncurrent assets are likely to realize enough to make up most of the shrinkage suffered in the liquidation of the current assets. Hence our first thesis, *viz.*, that the current-asset value affords a rough measure of the liquidating value.

Prevalence of Stocks Selling Below Liquidating Value. Our second point is that for some years past a considerable number of common stocks have been selling in the market well below their liquidating value. Naturally the percentage was largest during the depression. But even in the bull market of 1926–1929 instances of this kind were by no means rare. It will be noted that the striking case of Otis Company, presented in the last chapter, occurred during June 1929, at the very height of the boom. The Northern Pipe Line example, given in Chap. 41, dates from 1926. On the other hand, our Pepperell and White Motor illustrations were phenomena of the 1931–1933 collapse.

It seems to us that the most distinctive feature of the stock market of those three years was the large proportion of issues which sold below their liquidating value. Our computations indicate that over 40% of all the industrial companies listed on the New York Stock Exchange were quoted at some time in 1932 at less than their net current assets. A considerable number actually sold for less than their cash-asset value, as in the case of White Motor.[1] On reflection this must appear to be an extraordinary state of affairs. The typical American corporation was apparently worth more dead than alive. The owners of these great businesses could get more for their interest by shutting up shop than by selling out on a going-concern basis.

In the recession of 1937–1938 this situation was repeated on a smaller scale. Available data indicate that 20.5% of the industrial companies listed on the New York Stock Exchange sold in early 1938 at less than their net-current-asset value. (At the close of 1938, when the general price level was by no means abnormally low, a total of 54 companies out of 648 industrials studied sold for less than their net current assets.[2])

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[1] See Appendix Note 62 for a representative list of issues selling for less than liquidating value in 1932.

[2] See Appendix Note 61 for other details on this point.